CLOSING STATEMENT

Fairmont Data Center | Cincinnati, OH

Property	Fairmont Data Center
Settlement Date	August 23, 2022
Buyer	Vireo Income Properties
Seller	Tallgrass Equity Group
Sale Price	$72,900,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$72,900,000			
Earnest money deposit		$509,869	$509,869	
Real estate tax proration	$204,091			$204,091
Rent proration			$692,408	
Security deposits assumed	$170,074	$170,074		
Prepaid rents			$60,477	$60,477
Owner's title policy premium	$616,128			
Lender's title policy premium		$504,671	$504,671	
Escrow fee	$314,267			$314,267
Recording fees			$672,529	
Transfer tax	$554,904	$554,904		
Survey			$524,183	$524,183
Legal fees - Buyer	$294,987			
Legal fees - Seller		$500,961	$500,961	
Broker commission	$502,160			$502,160
Loan origination fee			$575,044	
Lender legal	$96,235	$96,235		
Appraisal fee			$700,471	$700,471
Environmental report	$535,699			
Property condition report		$208,412	$208,412	
Tax escrow deposit	$77,961			$77,961
Insurance escrow deposit			$655,270	
Replacement reserve deposit	$308,712	$308,712		
Utility deposits			$313,322	$313,322
Assumed vendor contracts credit	$383,579			

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$72,900,000			
Legal fees - Seller		$240,634	$240,634	
Broker commission	$366,763			$366,763
Loan origination fee			$155,038	
Lender legal	$258,426	$258,426		
Appraisal fee			$258,796	$258,796
Environmental report	$211,724			
Property condition report		$234,236	$234,236	
Tax escrow deposit	$41,783			$41,783
Insurance escrow deposit			$356,090	
Replacement reserve deposit	$526,934	$526,934		
Utility deposits			$273,480	$273,480
Assumed vendor contracts credit	$708,606			
Tenant improvement credit		$217,656	$217,656	
Courier / wire fees	$265,853			$265,853
Municipal certificates			$145,393	
Purchase price	$597,914	$597,914		
Earnest money deposit			$173,266	$173,266
Real estate tax proration	$71,946			
Rent proration		$527,634	$527,634	
Security deposits assumed	$375,638			$375,638
Prepaid rents			$263,797	
Owner's title policy premium	$102,147	$102,147		
Lender's title policy premium			$313,407	$313,407
Escrow fee	$126,982			
Recording fees		$385,547	$385,547	
Transfer tax	$555,606			$555,606
Survey			$507,506	

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Financial Analysis

Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Effective gross income for the trailing period was $134,000, representing a 8.0% increase over the prior year. The going-in capitalization rate of 6.63% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.50x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period.

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.98x on a trailing basis against a covenant minimum of 1.20x. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Valuation Discussion

The going-in capitalization rate of 6.44% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $384,000 or approximately 34.73 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.28x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Carrier-neutral meet-me room supports multiple fiber providers.

The facility is a purpose-built data center with 15 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Debt service coverage ratio was 7.58x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $359,000, representing a 5.3% increase over the prior year. The going-in capitalization rate of 5.66% reflects the in-place income and the stabilized occupancy assumption.

Financial Analysis

Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. Effective gross income for the trailing period was $438,000, representing a 3.5% increase over the prior year. The going-in capitalization rate of 5.10% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.92x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses.

The going-in capitalization rate of 5.90% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $163,000, representing a 8.1% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.47x on a trailing basis against a covenant minimum of 1.20x.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$72,900,000			
Tenant improvement credit		$406,235	$406,235	
Courier / wire fees	$109,174			$109,174
Municipal certificates			$243,967	
Purchase price	$290,893	$290,893		
Earnest money deposit			$113,704	$113,704
Real estate tax proration	$128,614			
Rent proration		$175,853	$175,853	
Security deposits assumed	$399,922			$399,922
Prepaid rents			$617,053	
Owner's title policy premium	$450,545	$450,545		
Lender's title policy premium			$43,957	$43,957
Escrow fee	$325,819			
Recording fees		$51,324	$51,324	
Transfer tax	$338,264			$338,264
Survey			$178,809	
Legal fees - Buyer	$254,339	$254,339		
Legal fees - Seller			$461,929	$461,929
Broker commission	$510,289			
Loan origination fee		$176,939	$176,939	
Lender legal	$662,928			$662,928
Appraisal fee			$275,488	
Environmental report	$52,251	$52,251		
Property condition report			$420,661	$420,661
Tax escrow deposit	$574,348			
Insurance escrow deposit		$534,307	$534,307	
Replacement reserve deposit	$145,183			$145,183
Utility deposits			$466,879	

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Operating Performance

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. The facility is a purpose-built data center with 42 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Effective gross income for the trailing period was $78,000, representing a 9.7% increase over the prior year.

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. Operating expenses totaled $219,000 or approximately 11.06 per square foot, with real estate taxes representing the largest line item.

Operating Performance

Effective gross income for the trailing period was $374,000, representing a 8.9% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period. The facility is a purpose-built data center with 44 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses.

Debt service coverage ratio was 6.23x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The facility is a purpose-built data center with 38 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Operating expenses totaled $371,000 or approximately 35.42 per square foot, with real estate taxes representing the largest line item. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Financial Analysis

The going-in capitalization rate of 7.52% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.16x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $460,000 or approximately 17.09 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Operating expenses totaled $66,000 or approximately 41.73 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $150,000, representing a 2.9% increase over the prior year. The facility is a purpose-built data center with 9 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Debt service coverage ratio was 6.73x on a trailing basis against a covenant minimum of 1.20x. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$72,900,000			
Recording fees		$602,008	$602,008	
Transfer tax	$593,488			$593,488
Survey			$436,568	
Legal fees - Buyer	$64,691	$64,691		
Legal fees - Seller			$285,278	$285,278
Broker commission	$627,705			
Loan origination fee		$480,165	$480,165	
Lender legal	$81,279			$81,279
Appraisal fee			$615,039	
Environmental report	$330,494	$330,494		
Property condition report			$119,381	$119,381
Tax escrow deposit	$419,500			
Insurance escrow deposit		$500,535	$500,535	
Replacement reserve deposit	$163,041			$163,041
Utility deposits			$544,106	
Assumed vendor contracts credit	$138,178	$138,178		
Tenant improvement credit			$727,025	$727,025
Courier / wire fees	$108,653			
Municipal certificates		$53,247	$53,247	
Purchase price	$146,096			$146,096
Earnest money deposit			$656,754	
Real estate tax proration	$390,871	$390,871		
Rent proration			$434,877	$434,877
Security deposits assumed	$298,049			
Prepaid rents		$352,535	$352,535	
Owner's title policy premium	$36,021			$36,021
Lender's title policy premium			$599,988	

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Financial Analysis

The facility is a purpose-built data center with 11 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The going-in capitalization rate of 5.44% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $113,000 or approximately 28.84 per square foot, with real estate taxes representing the largest line item.

Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.16% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $324,000 or approximately 15.04 per square foot, with real estate taxes representing the largest line item. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Financial Analysis

Debt service coverage ratio was 6.98x on a trailing basis against a covenant minimum of 1.20x. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The going-in capitalization rate of 6.22% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $326,000, representing a 7.1% increase over the prior year.

Effective gross income for the trailing period was $298,000, representing a 4.4% increase over the prior year. Carrier-neutral meet-me room supports multiple fiber providers. The facility is a purpose-built data center with 6 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. Debt service coverage ratio was 7.41x on a trailing basis against a covenant minimum of 1.20x.

Financial Analysis

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Debt service coverage ratio was 7.41x on a trailing basis against a covenant minimum of 1.20x. Carrier-neutral meet-me room supports multiple fiber providers.

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Operating expenses totaled $8,000 or approximately 40.05 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $433,000, representing a 11.7% increase over the prior year. The facility is a purpose-built data center with 25 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

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Fairmont Data Center Owner LLC

By: Maria Harper Title: Managing Member Date: 08/23/2022

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Lighthouse Telecom

By: Andre Evans Title: President Date: 08/23/2022

Exhibit A - Property

Fairmont Data Center, 3983 Centennial Parkway, Cincinnati, OH 88497. Parcel containing approximately 8.71 acres, together with all improvements thereon.

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